

Meta Platforms, Inc.

META NASDAQ

Buy	\$590.17 ▼ 0.55%	12M Price Target \$720.00	52-Week Range \$520.26 – \$796.25	Market Cap \$1.50T
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META: Earnings On Deck, Ad Machine vs AI Spend Debate

WHAT HAPPENED

- META is down ~2.6% over the past week heading into tonight's earnings — and the tape is ugly (Dow -700, oil spiking, Fed decision looming). The stock is sitting at just 25% of its 52-week range, meaning it's closer to the yearly low than the high. That's not a coincidence — the market is nervous about how much Meta is spending on AI vs. what it's earning back.
- The Zuckerberg "bitter complaints" headline plus that Goldman note about Big Tech funding a THIRD of AI investments with debt in 2027 — that's the narrative weighing on the stock right now. Investors are asking: are these AI dollars ever coming back?

WHY IT MATTERS

Tonight's earnings is the whole ball game short-term. Here's what I'm watching: if Meta raises 2026 capex guidance again (they've already hiked it twice), the stock probably gets punished in the after-hours regardless of how good the ad numbers are — that's the current market mood. BUT if ad revenue growth comes in above 20% and they show any restraint on spending, this thing snaps back to \$650+ fast because sentiment is already washed out. The options flow is quietly bullish (put/call at 0.58, meaning way more people betting up than down), which tells me smart money is positioning for a beat.

POLICY & POLITICAL WATCH

The big overhang is the FTC antitrust case pushing for Instagram/WhatsApp divestiture — still grinding through appeals but no near-term resolution. More immediate: the EU's Digital Markets Act enforcement continues to squeeze ad targeting in Europe, and there's ongoing chatter in Congress about a federal AI liability framework that could force platforms to be responsible for AI-generated content — that would be a cost headwind for everyone but Meta can absorb it better than smaller players (it becomes a moat). Also watch the Section 230 reform discussions — any weakening of platform liability protections is a direct hit to Meta's business model.

IS IT EXPENSIVE?

At ~20x forward earnings (meaning you're paying \$20 today for every \$1 of profit Meta's expected to earn next year), this is actually cheap for a company growing revenue 15-20% with 40%+ operating margins. Compare that to the S&P average around 22x for way slower growth. The catch: that "E" (earnings) number is under pressure because AI capex is exploding — if spending keeps outpacing revenue, the multiple looks less friendly. Bottom line: it's cheap IF the ad engine keeps humming; it's fair value if capex eats the margins.

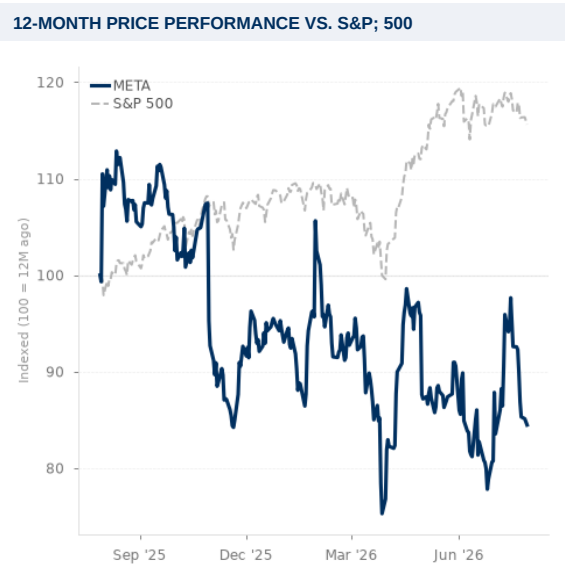
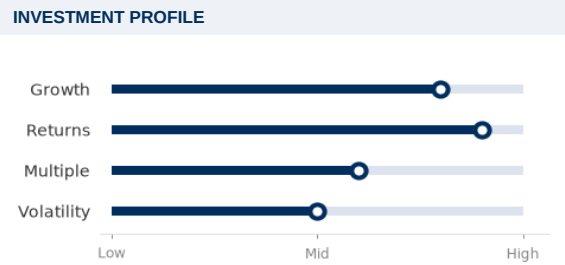
WHAT COULD GO WRONG

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-07-29 14:46 UTC

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Key Data	
Price (USD)	\$590.17
12M Price Target	\$720.00
Upside / (Downside)	+22.0%
Market Cap	\$1.50T
FY2026E Revenue	\$138M
FY2027E Revenue	\$158M
FY2026E EPS	\$28.50
FY2027E EPS	\$33.00
Fwd P/E	20.7x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$640.00	\$605.00	\$555.00
6 Months	\$720.00	\$650.00	\$540.00
1 Year	\$800.00	\$720.00	\$520.00
2 Years	\$950.00	\$800.00	\$500.00
5 Years	\$1400.00	\$1000.00	\$450.00
10 Years	\$2200.00	\$1500.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.6% today) on the oil spike — geopolitical risk premium is back. Healthcare and Staples catching a defensive bid ahead of the Fed.

COOLING OFF: Communication Services (META's sector) down 0.4% today and basically flat for the week — the AI capex debate is weighing on the whole group. Big Tech is where money is LEAVING per this morning's Yahoo piece.

ROTATION WATCH: Classic late-cycle rotation happening — money moving out of high-multiple growth (tech) into defensives and energy. This isn't META-specific, it's macro. If the Fed sounds dovish tomorrow, this reverses in a hurry.

RELATED PLAY: If you believe in the AI capex story even if META gets punished short-term, the picks-and-shovels names (NVDA, AVGO, and data center REITs like EQIX) benefit whether or not Meta's AI pays off — Meta HAS to spend the money either way.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Winning the "disciplined AI spender" narrative — investors prefer their capex-to-revenue ratio right now.
- NFLX (Netflix): No AI capex overhang, pure content story, ad tier growing — the anti-META trade in Comm Services.

META CONTEXT: META is lagging its mega-cap peers this month specifically because of the capex anxiety. That's actually setup-friendly for a positive surprise tonight — expectations are lower than they were 30 days ago. When a stock underperforms into earnings, the bar to beat is easier to clear.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Core long-term holding, but I'd rather add AFTER tonight's earnings than before given the ugly tape. The business is elite; the timing is tricky.

POSITION SIZE: 4-6% of portfolio. Big enough to matter, small enough to survive a bad print.

ENTRY POINTS: \$570-590 is a fine starter. If earnings disappoint and it dumps to \$530-550, back up the truck — that's where the risk/reward gets excellent.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is the first quarter where AI investment shows up meaningfully in ad revenue growth or margins — probably late 2026 or early 2027.

WHEN TO BAIL: If ad revenue growth drops below 10% for two straight quarters, or if capex guidance jumps 30%+ without a monetization story, I'm cutting the position in half.

HEDGING: Simplest hedge — pair it with GOOGL (Alphabet has the same AI upside but with less capex anxiety). Or if you want protection, buy a cheap put 10% below current price expiring after earnings — costs you a little but caps the downside on a disaster print.